

Clearing the Ledger: Who Pays for AI Data Center Infrastructure?

Before taking sides, ask one settlement question:

**Who gets the asset,
who gets the bill,
and who is the backstop?**

This brief does not decide whether an AI data center should be built. It asks whether public balance sheets may be used before the payment chain is clear.

Working release for public review and issue-spotting. Not a legal filing, expert report, or commission-ready evidentiary record.

Liquidity Happy Hours

Money View Lab research desk

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Executive Summary

The public debate over AI data centers often starts with electricity use. That is too narrow. The harder question is settlement: who signs the payment obligation, who receives the asset, and who must produce cash if the forecast fails?

This is a settlement grammar for a polarized issue. It does not ask people to agree about AI first. It asks supporters and opponents to answer the same public accounting question: which contract pays which bill under which stress case?

The thesis

A claim is not settled when a company says, “we will pay.” It is settled when contracts, tariffs, collateral, minimum bills, exit fees, capacity obligations, and local agreements show who must provide cash under delay, underuse, exit, default, curtailment failure, or forecast error.

This brief does not discover the ratepayer cost-shifting problem. It does not invent large-load tariffs. It offers a public ledger stress test: an audit protocol for converting public promises into enforceable settlement resources, then testing whether those resources cover public exposure across electric, regional-market, local fiscal, water, technical-performance, and credit ledgers.

Promise is not payment. Growth is not settlement. A public bill needs a named payer.

Working release, not a filing package

Working release for public review and issue-spotting. Not a legal filing, expert report, or commission-ready evidentiary record. This public brief can be used to ask better questions in hearings, reporting, and policy review. It should not be treated as a complete regulatory filing package without jurisdiction-specific legal authority, source-pinned citations, and docket-specific evidence.

How this public package should be used

This annotated brief is not the first doorway for every reader. For a public meeting, start with the Pocket Ledger Card. For a story, use the Reporter Kit and the PJM guardrail. For a workshop, use the County X walkthrough and Lite Certificate. Use this brief when a reader wants the argument behind those public tools.

This brief is not anti-data-center. It is anti-unpriced public risk. A project that can show enforceable settlement resources should pass; a project that cannot should not use public balance sheets by default. Supporters should win when their benefits settle; opponents should win only when public exposure remains unpriced.

The framework is not a presumption of guilt. Some data centers may pay their own way and even create surplus value for other customers. The point is that benefits and costs must pass the same evidence test.

What would make opponents lose fairly?

Opponents should concede a project passes where reviewable evidence shows: surplus utility value survives 60 percent load stress; direct and shared network costs are covered by enforceable instruments; regional capacity exposure is assigned or offset; water and school burdens are covered; the parent guarantee reaches the true legal payer and shared obligations; public

counsel or staff has reviewed confidential terms; and no material residual claimant remains unnamed.

What would make supporters lose fairly?

Supporters should concede public risk remains unresolved where the legal payer is unclear; minimum bills do not cover fixed-cost exposure; exit fees and collateral fall short of remaining net book value; PJM or RTO exposure rests on market-level comfort rather than assignment; local fiscal claims omit water, schools, roads, emergency services, or mitigation; a parent guarantee covers only direct bills; or confidential terms cannot be reviewed by a public representative.

Five policy rules

1. No public-risk shifting after a trigger without ledger disclosure.
2. No confidentiality without public representative review.
3. No forecast inclusion without a meaningful and verifiable customer commitment.
4. No flexibility credit without telemetry, dispatch rights, and penalties.
5. No cross-ledger offset without enforceable transfer.

Public recovery means

Rate base, riders, tax abatements, public-bond-backed infrastructure, public infrastructure support, capacity or transmission pass-throughs, or expedited approvals that shift risk to a public institution.

Anti-misuse rule

Do not claim subsidy merely because a ledger line is unknown. Do not claim that the project is clean merely because one ledger passes. The correct conclusion is ledger-specific: passed, conditional, unresolved, failed under stress, or public-welfare override.

How this test can be abused

Opponents should not treat every unknown line as a subsidy. Supporters should not treat one clean ledger as a clean project. Journalists should not turn PJM market-level counterfactuals into project bills. Local governments should not treat tax revenue as electric-bill protection. Companies should not treat press releases as settlement resources.

Three levels of review

1. **Ordinary commercial service.** If the project does not seek public support, does not enter public rate recovery, and does not shift risk to public institutions, ordinary tariff and interconnection review may be enough.
2. **Public-risk trigger.** Tax incentives, utility rate recovery, RTO forecast inclusion, public-bond-backed infrastructure, water-authority debt, or expedited approvals that shift risk should trigger a Ledger Disclosure Duty.
3. **Public-cost transfer.** If the applicant cannot provide reviewable evidence, the recommended default is not that the project is illegal. It is that unpriced risk should not be

transferred to non-consenting public residual claimants.

Table 1: Terms in plain language

Term	Plain version
Settlement resources	Contracts, cash, collateral, minimum bills, guarantees, or other obligations that can actually produce payment.
Downside exposure	Costs that can land on a public ledger in a bad case: delay, under-use, exit, default, or forecast failure.
Residual claimant	The person or institution forced to pay when nobody else does.
Regional ledger	Costs pooled through a regional grid market such as PJM or another RTO/ISO.
Technical flexibility	Curtailment the grid operator can call, measure, verify, and punish if it fails.

1 The Public Question

A county welcomes a billion-dollar AI data center. Officials promise jobs and tax revenue. The company promises innovation. The utility says the grid may need new equipment. Residents ask whether their bills will rise.

That is the right question, but it is only the beginning. A data center is a chain of payment promises: land, power, cooling, transmission, backup capacity, water, roads, taxes, and public services. Each promise must eventually settle.

The public should ask three questions before taking sides:

- 1. Whose balance sheet gets the new asset?
- 2. Whose balance sheet gets the new liability?
- 3. Who provides the liquidity backstop if the forecast is wrong?

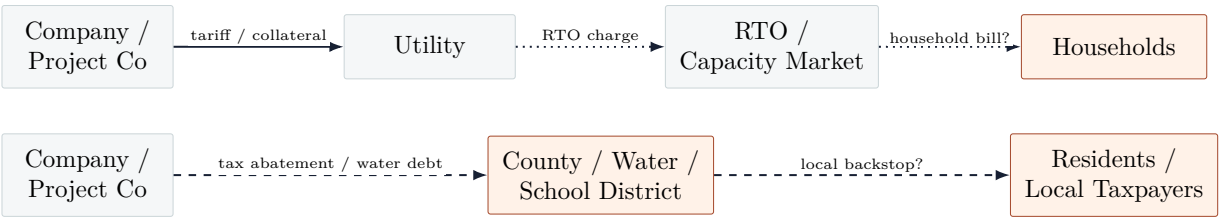


Figure 1: The payment chain to audit. Solid line = enforceable payment. Dotted line = pooled or system cost. Dashed line = hidden or unproved backstop. The audit question is whether every public exposure has a matching enforceable settlement resource.

2 Where Ordinary Answers Fail

Money View adds value only if it changes the answer, not merely the vocabulary. These are the cases where it should bite.

Table 2: Where the ledger changes the answer

Scenario	Ordinary answer	Ledger answer
State tariff looks protective, but PJM capacity costs remain pooled	The PUC tariff passes because direct interconnection costs and minimum bills are assigned to the large-load customer.	The state ledger may pass while the regional capacity ledger fails. The question moves to PJM, FERC, the LSE, and retail pass-through rules.
County fiscal note is positive, but utility rate base contains unring-fenced assets	The economic-development deal looks beneficial because local tax revenue after abatements is positive.	The local fiscal ledger may pass while the electric ledger fails. A county win can coexist with household bill exposure.
Parent guarantee exists, but only covers direct project bills	The company looks creditworthy because a deep parent stands behind the service agreement.	The credit ledger passes only for the covered obligation. Shared network, capacity, water, or tax exposure may remain outside the guarantee.

No cross-ledger offset

Settlement protection rule: settlement resources may offset only the exposure they legally cover. County tax revenue cannot erase PJM capacity exposure. Verified flexibility cannot pay water debt. A workforce promise cannot pay a residential electric bill unless an enforceable transfer mechanism links those ledgers.

Public welfare rule: decision-makers may still make broader public-welfare tradeoffs, but they should disclose winners, losers, compensation mechanisms, distributional effects, and the residual claimant. A public-welfare finding may justify a policy choice; it does not by itself settle a payment obligation. Strategic benefits such as AI leadership, regional competitiveness, or jobs belong in a public-welfare record, not in the settlement dashboard unless cash, credit, capacity, mitigation, or legal responsibility moves to the affected ledger.

Short version: policy support explains why a project may proceed; payment settlement explains who pays.

Causation gate before the ledger

Project-caused exposure means incremental cost, acceleration, risk, or pooled-market exposure that the record ties to this project. It does not mean every system need near the project.

Before running the formula, classify each cost:

- **But-for direct cost:** would not be built without this project; usually direct assignment.
- **Triggered shared cost:** triggered by this project but useful to later users; initial assignment plus later-user credit.
- **Forecast-reliance cost:** built or procured because the project entered a utility, IRP, or RTO forecast; require milestones, deposits, and exit protection.
- **Pooled market exposure:** market-level spillover that cannot be mechanically assigned; treat as spillover risk unless a legal assignment mechanism exists.
- **General system need:** caused by retirements, electrification, reliability, or ordinary growth; do not simply assign it to the data center.

3 The Ledger Test in One Page

The whole test in five plain questions

1. What is being built for this project?

2. Who legally promises to pay for it?

3. What happens if the project uses only 60 percent of expected load?

4. What happens if it exits in year 5?

5. Who pays if the contract, guarantee, or flexibility claim fails?

Ledger Adequacy Test

Settlement resources = upfront contributions

+ NPV of enforceable fixed payments

+ callable collateral and parent guarantees

+ exit fees and cancellation payments

+ enforceable capacity or resource contributions

+ discounted verified flexibility value

+ local fiscal clawbacks

Downside exposure = customer-specific grid costs

+ assigned shared network costs

+ forecast-error and stranded-asset risk

+ allocated regional capacity impact

+ local public-infrastructure and fiscal costs

Ledger gap = Settlement resources – Downside exposure

This is an evidentiary discipline, not a pricing model. It prevents weak promises from being counted at face value. It does not by itself estimate default probability, bankruptcy recovery, or capacity-market causation.

Each line must identify its unit and time horizon: one-time dollars, dollars per year, NPV over a contract term, remaining net book value, MW, delivery-year capacity obligation, bond-term exposure, or non-monetized environmental exposure. Without unit discipline, the formula becomes a metaphor rather than a test.

Run the test ledger by ledger

The formula must be run ledger by ledger. A single project may have a positive electric ledger and a negative water ledger, or a positive county fiscal ledger and an unresolved PJM ledger. Aggregate only where an enforceable transfer mechanism links the ledgers.

How to read the result

If enforceable settlement resources cover downside exposure in every affected ledger, the project should pass. If a gap appears under delay, underuse, exit, default, curtailment failure, or forecast error, the recommended default for the institution’s own public-support or cost-recovery decision, where authorized, is no public-risk shifting unless the applicant fills

the gap or the decision-maker makes a supported finding that recovery is just, reasonable, and properly allocated. If the key documents are hidden, public recovery has not yet been justified.

Unknown is not proof of subsidy. Unknown is proof that public cost recovery has not yet been justified. No hidden ledger should become a public bill.

Interim approval options

Missing information does not always mean stop everything. It can mean conditional approval with escrow; construction allowed but no general rate recovery until a ledger certificate is filed; provisional forecast treatment with a milestone deposit; time-limited confidentiality with public counsel review; emergency procurement with deferred cost allocation and true-up; or shareholder deferral until customer commitment is verified. Every interim approval should include a deadline, evidence condition, reopener, true-up rule, and carrying-cost assignment.

When to use the full test

A small facility does not need a courtroom-sized audit. A full ledger review is warranted when one or more adjustable triggers appears: use the relevant state or tariff threshold; common screening points include 25, 50, or 100 MW; a material share of utility or LSE peak; customer-specific or shared grid capex above the local filing threshold; inclusion in an IRP, RTO forecast, water forecast, or capacity auction; tax abatement, PILOT, public bond, public infrastructure, or expedited approval; a thin SPV, affiliate split, colocation lease, or unidentified legal payer; or major water, backup-generation, road, fire, school, or land-use exposure. Public screening asks whether the payer and residual claimant are visible. Docket review, under protective order if needed, asks whether actual contracts and cost studies support the claim.

4 Why Energy Use Alone Is Not Enough

Annual electricity demand matters. The International Energy Agency estimates that data centers used about 415 TWh worldwide in 2024 and could use about 945 TWh by 2030. Lawrence Berkeley National Laboratory estimates that U.S. data centers used about 176 TWh in 2023, with 2028 scenarios ranging from 325 to 580 TWh.¹

But the grid is stressed by more than annual energy. It must deliver power at a specific location and hour while maintaining reliability. That requires capacity, transmission, backup resources, operating reserves, voltage performance, and planning confidence.

A renewable power purchase agreement may answer, “How much renewable energy did the company buy over the year?” It may not answer, “Who supplies reliable power on a hot evening when the local grid is constrained?”

¹Sources: International Energy Agency, *Energy and AI*; Lawrence Berkeley National Laboratory, *2024 United States Data Center Energy Usage Report*.

5 The Outer Public Ledger

For many residents, the first concern is not only the electric bill. It is water, diesel or gas backup generation, air permits, noise, land use, roads, school finance, emergency services, and transmission siting. Those are not side issues. They are the second public ledger.

The rule is the same as for electricity: a benefit in one ledger cannot cancel a liability in another unless there is an enforceable transfer. A county PILOT does not protect residential electric customers. A water clawback does not pay a PJM capacity charge. A jobs promise does not cover stranded transmission plant.

Three layers of local governance

- **Legal compliance layer:** zoning, air, water, backup generation, stormwater, and land-use permits ask whether the project meets minimum legal requirements.
- **Settlement layer:** water debt, roads, school revenue, fire staffing, and public-safety costs ask who pays quantifiable public costs.
- **Community mitigation layer:** noise, emissions, traffic, siting concentration, and procedural access ask what must be disclosed, monitored, mitigated, enforced, or compensated.

Permit compliance is not the same as community settlement.

Local nexus rule

A local burden enters the ledger only if the record identifies the causal nexus to the project or cluster, the affected group, the mitigation or payment pathway, and the institution with authority to act. This keeps the local ledger focused on public-risk settlement rather than turning it into a forum for every local political dispute.

6 Supporters Get a Ledger Too

Supporters may be right in some cases. A large data center can bring high load-factor revenue, support new infrastructure as an anchor load, sign long take-or-pay contracts, offer tested flexibility, provide tax revenue, and make local infrastructure investments.

E3's Amazon-commissioned ratepayer study is a serious counterexample. It concluded that evaluated Amazon data centers generated sufficient or surplus utility revenue in studied cases, with an assumed 100 MW data center producing about \$3.4 million in surplus utility revenue in 2025 and up to \$6.1 million in 2030 under the study's assumptions.²

That does not end the inquiry. A facility-level surplus study may cover direct utility costs while leaving regional capacity, water, tax, land-use, or forecast-error costs outside the frame. The right response is not to dismiss the study or accept it uncritically. The right response is to ask whether the full ledger passes.

Benefit rule

Benefits and costs use the same standard. Jobs, tax revenue, grid resilience, and flexibility count only to the extent they are quantified, legally documented, and durable under stress.

²Source: Energy and Environmental Economics, *Tailored for Scale: Designing Electric Rates and Tariffs for Large Loads*. The report was funded and reviewed by Amazon before publication, according to its own disclosures.

Supporters should win when their benefits settle. Opponents should win only when public exposure remains unpriced.

The strongest supportive evidence would include a cost-to-serve study showing surplus utility revenue under low-load stress, filed later-user credits for shared infrastructure, dispatchable and tested flexibility, and a local fiscal note that remains positive after abatements, water debt, roads, public safety, and school effects.

When data centers improve the public ledger

A project can affirmatively improve the public ledger if revenue-cost surplus survives low-load stress; capacity obligations are assigned or offset; shared infrastructure has later-user credits; local fiscal NPV remains positive after public costs; flexibility is accredited and penalty-backed; and parent support covers direct, shared, and exit exposure.

7 Pass Card

A project passes if it can show

- **Electric ledger:** no shortfall under low-load and delayed-ramp stress.
- **Exit ledger:** exit fee plus collateral covers remaining net book value under early exit.
- **Regional ledger:** capacity and RTO costs are assigned, offset, or covered by enforceable customer obligations.
- **Local ledger:** fiscal claims remain positive after abatements and public costs; non-fiscal burdens such as water, air, noise, roads, emergency services, and land use are assigned, mitigated, compensated, or disclosed through a supported public-welfare finding.
- **Credit ledger:** the legal payer cannot strand liabilities through affiliate separation.

If those conditions are met, the project should not be described as a public subsidy simply because it is large. A large load can be risky and still be well priced.

Clean Project Example

A 200 MW hyperscaler-owned campus could pass this test. The project company pays upfront for direct facilities; an enforceable minimum bill covers fixed costs under a 60 percent load stress; an exit fee plus irrevocable letter of credit covers remaining net book value at a year-five exit; a bilateral capacity contract or qualifying capacity contribution covers RTO exposure; a project-specific water minimum payment covers bond-term debt service; a school hold-harmless clause protects the district; and a parent guarantee covers direct, shared, and exit obligations.

Result: electric ledger pass; regional ledger pass; water ledger pass; local ledger conditional pass with monitoring; credit ledger pass. The point is not to block clean projects. It is to show what clean looks like.

Messy but Approachable Project Example

Most real projects will not be this clean. A project might show electric ledger pass because direct facilities and minimum bills are filed; exit ledger conditional because remaining-net-book-value assumptions are sealed but reviewable; RTO ledger unresolved but confidential-

reviewable because bilateral capacity terms are under protective order; water ledger pass because a minimum water payment covers bond-term debt service; school ledger conditional because a hold-harmless payment is still being negotiated; and distributional ledger conditional because a noise and backup-emissions mitigation fund is required. That is not automatic failure. It is a managed gray zone: proceed only where the unresolved lines are reviewable, time-limited, and tied to conditions, reopener, true-up, or mitigation.

Table 3: Public-risk rules and safe-harbor paths

Public-risk rule	Safe-harbor path
No public-risk shifting after a trigger without ledger disclosure	Public recovery may be justified with a Ledger Adequacy Certificate and reviewable evidence.
No forecast inclusion without verifiable commitment	Forecast may be used with a signed service agreement, deposit, milestone schedule, or equivalent commitment.
No flexibility credit without telemetry and penalties	Flexibility may be credited after an accredited test event and operator-dispatchable performance obligation.
No public-welfare override without an authorized record	Override may be considered only with winners, losers, compensation, distributional effects, residual claimant, and a reopener or true-up.
No cross-ledger offset without transfer	Offset may be allowed with an enforceable transfer or an explicit public-welfare finding naming winners, losers, and residual claimants.
No confidentiality without representative review	Confidentiality may be allowed under protective order plus a public non-sensitive summary.

8 Two Cost-Shifting Paths

The United States does not have one grid-cost model. The public should watch at least two pathways.

Market-pooling regions. In PJM and similar regions, forecast load can affect regional capacity markets. Market-level counterfactuals from Monitoring Analytics show pooled-cost risk from actual and forecast data-center load.³ These figures show a market pathway, not a project bill: they are market-level counterfactuals, not legal liability assigned to one project.

Vertically integrated regions. In much of the Southeast and parts of the West, a utility may put data-center load into an integrated resource plan, build generation or transmission, then recover the cost through base rates or riders. The risk appears not as an auction price spike, but as rate-base expansion under a forecast.

The key distinction

PJM evidence proves a market-pooling pathway. It does not automatically assign legal responsibility to one project. Project-level assignment requires an enforceable RTO rule, state tariff, bilateral capacity contract, qualifying capacity contribution, curtailability rule, or regional cost adder.

³Monitoring Analytics estimated about \$16.6 billion in increased capacity-market revenues from actual and forecast data-center load across the 2025/2026 and 2026/2027 auctions, and about \$23.1 billion across three recent auctions including 2027/2028. Sources: PJM capacity auction release; Monitoring Analytics analyses of the 2026/2027 and 2027/2028 RPM Base Residual Auctions. Market pathway, not project bill.

Do not do this with PJM numbers

Do not divide PJM-wide counterfactual costs by MW and call the result a project bill. Do not cite market-level counterfactuals as legal liability. Use them only to identify a pooled-cost pathway and ask which instrument assigns or protects the residual claimant.

Short label for every PJM number

Market pathway, not project bill.

9 Case Snapshots

PJM Backstop Procurement

In 2026, PJM began advancing Reliability Backstop Procurement, an Expedited Interconnection Track, connect-and-manage rules, and load-forecasting reforms. PJM materials describe a process in which large loads without offsetting generation could be curtailed, and Utility Dive reported that PJM planned to accelerate a backstop reliability auction to September 2026 amid uncertainty over data-center cost allocation.⁴

Table 4: PJM live ledger test

Issue	Status	Ledger question
RBP and large-load reforms	Confirmed/proposed	Which large loads are driving the procurement target?
Connect-and-manage curtailment	Proposed/evolving	Is curtailment operator-dispatchable, measured, and penalized?
Cost allocation beyond zone or EDC	Unsettled	If state rules are missing, which retail customers pay?
Bilateral contracting path	Proposed/evolving	Does a bilateral contract move cost to the customer that needs capacity?

Status as of May 22, 2026, 19:14 EDT. PJM backstop procurement, connect-and-manage, bilateral-transfer design, and state allocation rules remain evolving; update this table before filing, publication, or citation.

The PJM backstop is a reliability tool that exposes a payer-identification test. If capacity is procured for large-load growth but the charge cannot be traced to the load that drove the need, the market has supplied capacity before the ledger has settled.

AEP Ohio Schedule DCT

AEP Ohio’s Data Center Tariff applies to new data centers or expansions of 25 MW or greater. Public materials identify a \$10,000–\$100,000 load-study fee, reimbursement of 100 percent of buildout costs if a project cancels or delays by more than 12 months before energization, ramp rules, collateral requirements, minimum demand rules, and inclusion of Schedule DCT load in PJM forecasts.⁵

⁴Sources: PJM Inside Lines, February 25, 2026; PJM Reliability Backstop Procurement Design; Utility Dive, May 20, 2026.

⁵Source: AEP Ohio, *Data Center Tariff*.

Table 5: Illustrative 300 MW Schedule DCT worksheet

Ledger line	Public/proxy calculation	Result
Minimum demand floor	For more than 75 MW, floor reaches the 85% cap; 300 MW implies a 255 MW minimum demand.	Conditional pass for underuse only if the charge covers the actual fixed-cost exposure.
Direct buildout cancellation	100% reimbursement if cancellation or delay exceeds 12 months before target energization.	Strong for direct buildout, but only if costs are defined and enforceable.
Credit default	Collateral or guarantee can equal 50% of total minimum charges unless credit/-cash tests are met.	Unknown until payer identity, exemption status, collateral form, and call conditions are known.
Exit year 5	36-month exit fee should be compared with remaining net book value.	Public record does not show whether the exit fee covers decades-long asset exposure.
PJM capacity	Schedule DCT load enters AEP's PJM forecast.	Not settled by the retail tariff alone; requires PJM/RTO or state pass-through evidence.
Local water/fiscal exposure	Outside Schedule DCT.	Unknown without county, water, tax, road, and environmental records.

The public record does not prove failure. It proves which ledgers remain unproved.

How to think, not what AEP owes

Do not ask only whether the tariff has an exit fee. Ask:

Exit coverage gap = credited exit value – remaining exposure under the tested exit year.

If the result is negative, the docket should identify the residual claimant: ratepayers, shareholders, replacement customers, creditors, or the large-load customer.

This is the arithmetic form of the test, not an estimate of AEP Ohio's exposure. Public examples should not be cited as project-specific gaps unless actual net book value, billing determinants, discount rate, collateral form, payer identity, and replacement-load assumptions are in the record.

Virginia GS-5

Virginia is not only a tariff case. It is the clearest example of clustered hyperscale load entering a vertically integrated planning system. The Virginia SCC approved a new GS-5 class for large-scale users, including customers of 25 MW or more, effective January 1, 2027. Certain large users must pay at least 85 percent of contracted distribution and transmission demand and 60 percent of generation demand.⁶

GS-5 is necessary but not sufficient. The key questions are whether data-center forecasts enter Dominion's IRP, how that forecast supports generation and transmission buildout, how those assets enter rate base or riders, whether the 60 percent generation floor covers resource-adequacy exposure, and whether a 14-year take-and-pay obligation is long enough for assets with 30- to 40-year lives.

⁶Source: Virginia State Corporation Commission, 2025 Dominion Energy Virginia biennial review order announcement.

10 Five Takeaways

1. **The question is not only energy.** It is capacity, location, settlement, and residual claimant.
2. **“Big Tech will pay” must be translated into contracts and numbers.** Press releases do not settle bills.
3. **Benefits count, but only if enforceable.** Tax revenue, jobs, resilience, and flexibility must survive the same evidence test as costs.
4. **Tariffs should be judged by cash value under stress.** Minimum bills, collateral, and exit fees matter only if their value exceeds remaining exposure.
5. **Local opposition is not automatically anti-technology.** Residents may be asking a reasonable balance-sheet question: who pays if the forecast fails?

What to ask at the next hearing

1. Which entity signs the payment obligation?
2. Which costs are direct-assigned, shared, regional, or local?
3. What happens if the load reaches only 60 percent or exits in year 5?
4. Who can inspect the redacted contracts?
5. Who is the residual claimant if the instrument fails?

Ask for three documents

1. The service agreement or tariff schedule.
2. The cost-allocation or cost-to-serve study.
3. The local fiscal and infrastructure agreement.

If those documents are unavailable, ask who can review them under protective order.

Selected Sources

- International Energy Agency, *Energy and AI*. <https://www.iea.org/reports/energy-and-ai/executive-summary>
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- Utility Dive, *PJM accelerates backstop auction amid uncertainty over data center cost allocation*. <https://www.utilitydive.com/news/pjm-accelerates-backstop-reliability-auction-amid-uncertainty-over-data-cen/820707/>

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Change Note

Public Brief v1.0 RC3 keeps the release-candidate version seal and adds the public-product layer emphasized in the Liquidity Happy Hours launch review: the Pocket Ledger Card is the civic front door; the Reporter Kit is the guardrail against common misreports; the County X walkthrough and Lite Certificate are the testable demo path; and this document is the annotated public brief behind those assets. It also preserves the settlement-grammar frame; the working-release/not-filing-package caveat; the fair-opponent-loss and fair-supporter-loss boxes in the Executive Summary; the five plain questions before the formula; the Causation Gate for project-caused exposure; the three-level public-risk trigger; the ledger-by-ledger rule; a plain-language term table; a visual public-recovery definition; the no-cross-ledger-offset and public-welfare distinction; the policy-support/payment-settlement sentence; interim approval options with deadline, re-opener, true-up, and carrying-cost assignment; adjustable materiality triggers; the revised payment-chain figure; the safe-harbor table; the clean-project and messy-project examples; the local governance layers and local nexus rule; the refined PJM backstop wording; the PJM do-not-pro-rate warning and short label; the AEP formula-only exit-coverage warning; the hearing document checklist; and the front-loaded anti-misuse and abuse-warning rules. It should be treated as the authoritative annotated public brief for this release candidate.